

a waiting period stretching to more than six months, it became one of the key pillars of M&M's strategy to establish itself as a true-blue SUV company. The XUV700 was another blockbuster: M&M said it had delivered 100,000 units by April 2023 since its launch in August 2021. With open orders of over 78,000 for the XUV700, it has stepped up monthly production to 8,000 units. Shah says the XUV700 was powered by quick decision-making. "That agility comes from empowering teams. It means faith and trust in leaders and being bold and saying: how can we be the leader in that space? And that's something you're seeing in our auto & farm launches and the growth gems."

"We focussed on our core, that is authentic SUVs, with the aim of being the No. 1 SUV player," says Shah. The result: M&M's SUV market share grew from 13.6 per cent in FY21 to 19.1 per cent in FY23. That 19.1 per cent should go much higher.

After two years of almost no growth, M&M reported dwindling sales in FY20. When Jejurikar took charge as ED at the peak of the Covid-19 pandemic, his first challenge was to bring its SUVs back in the reckoning, with customers now spoilt for choice. Hyundai, Kia Motors, and Tata Motors had launched some exciting SUVs, taking away M&M's share.

Jejurikar and Nakra focussed on minute details and lapped up what customers said. "Insights often come from being able to connect the dots. A couple in Delhi said that they loved the product [the XUV300], but their two-year-old wanted a sunroof, which only came with the highest variant... they were getting [that] at a

much lower price point from a competitor," says Jejurikar. "That made so much sense. You have to have the sunroof at the right price point. We made it a mainstay below the ₹10-lakh price point."

Nakra says incremental change always comes from listening to what customers want. But the key is to do something about it quickly and not wait for the next model. "We changed features like trims on the door, all-wheel drive, etc., at the last moment, just before the XUV700 launch, based on customer feedback. How quickly you respond to the customer is important. We could have done it after 18 months during a model refresh, but it may have been too late," says Nakra. "Our DNA is SUVs. Focus is the first part of our transformation story. And we took some tough calls and discontinued some of our brands."

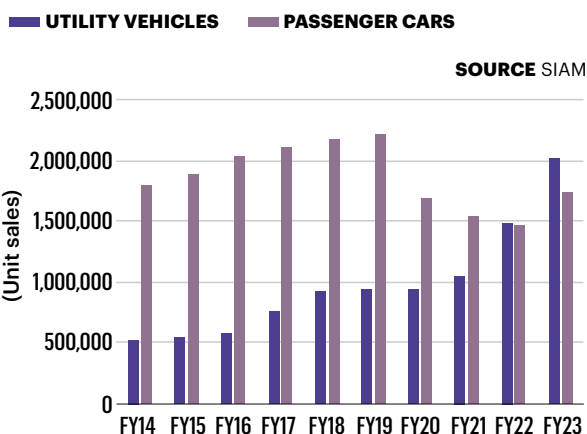
While the long waiting time, running into months for some models, is a challenge, it is a testament to great demand. But the management is not happy. "I'm not happy that our customers have to wait so long, but it also does show how strong the brand is. By Q4 of this financial year, we are increasing capacity substantially on all the models where the demand is very high," says Nakra.

### ...STING WITH THE BRANDS

M&M sees its SUV business as more like a house of brands than one brand with different models. So, Bolero, Scorpio, Thar and XUV are marketed as separate brands. "Today, we do have a very good metro city presence without losing our strength in rural, and there's a neat segmentation: Scorpio Classic is more rural, Scorpio-N is a little more ur-

## GROWTH SPURT

Utility vehicle sales have surpassed sales of passenger cars in the recent past



## GOING DOWNHILL

Declining sales of passenger cars forced Mahindra & Mahindra to rejig its strategy and focus on SUVs

M&M'S PASSENGER CAR SALES

